

1 ENGROSSED HOUSE
2 BILL NO. 3463

By: Boles of the House

3 and

4 Daniels of the Senate
5
6

7 An Act relating to cities and towns; amending 11 O.S.
8 2021, Section 17-105, as last amended by Section 1,
9 Chapter 287, O.S.L. 2024 (11 O.S. Supp. 2025, Section
10 17-105), which relates to annual audits of
11 municipalities; requiring submission of annual
12 financial statement audit by certain municipalities;
13 permitting agreed-upon-procedures engagement;
14 requiring copies be filed with State Auditor and
15 Inspector six months after the close of the fiscal
16 year; amending 11 O.S. 2021, Section 17-107, as
17 amended by Section 3, Chapter 254, O.S.L. 2022 (11
18 O.S. Supp. 2025, Section 17-107), which relates to
19 failure of municipalities to file audit or agreed-
20 upon-procedures report; modifying period of
21 withholding funds; clarifying citation; clarifying
22 passage of House bill made section effectively not
23 repealed; directing the Oklahoma Tax Commission to
24 release certain funds; clarifying timeline for
release of funds by the Oklahoma Tax Commission;
providing for noncodification; providing an effective
date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 11 O.S. 2021, Section 17-105, as
last amended by Section 1, Chapter 287, O.S.L. 2024 (11 O.S. Supp.
2025, Section 17-105), is amended to read as follows:

1 Section 17-105. A. The governing body of each municipality
2 with Fifty Thousand Dollars (\$50,000.00) or more in total revenue to
3 all funds, including component units of which the municipality is a
4 beneficiary, during a fiscal year shall cause to be prepared, by an
5 independent licensed public accountant or a certified public
6 accountant, an annual financial statement audit to be conducted in
7 accordance with auditing standards generally accepted in the United
8 States of America and Government Auditing Standards as issued by the
9 Comptroller General of the United States. Such audit shall be
10 ordered within thirty (30) days of the close of each fiscal year.
11 Copies shall be filed with the State Auditor and Inspector within
12 six (6) months after the close of the fiscal year in accordance with
13 the provisions of the Municipal Audit Reform Act of 2022 and with
14 the governing body of the municipality.

15 B. The governing body of each municipality with Fifty Thousand
16 Dollars (\$50,000.00) or more in total revenue to all funds,
17 including component units of which the municipality is a
18 beneficiary, and with a population of less than two thousand five
19 hundred (2,500) as of the most recent Federal Decennial Census, and
20 for whom an annual financial statement audit is not required by
21 another law, regulation or contract, shall cause to be prepared, by
22 an independent licensed public accountant or a certified public
23 accountant, ~~a biennial~~ an annual financial statement audit in
24 accordance with auditing standards generally accepted in the United

1 States and Government Auditing Standards as issued by the
2 Comptroller General of the United States. ~~Each biennial audit shall~~
3 ~~cover the two (2) preceding years.~~

4 ~~The governing body of each municipality may alternatively~~
5 ~~request a biennial, or an~~ agreed-upon-procedures engagement.

6 ~~Agreed-upon procedures~~ An agreed-upon-procedures engagement required
7 under the Municipal Audit Reform Act of 2022 shall be performed in
8 accordance with the applicable attestation standards of the American
9 Institute of Certified Public Accountants.

10 The audit or agreed-upon-procedures engagement shall be ordered
11 within thirty (30) days of the close of the fiscal year that the
12 audit is due. Copies shall be filed with the State Auditor and
13 Inspector within ~~nine (9) months~~ six (6) months after the close of
14 the fiscal year in accordance with the provisions of paragraph 2 of
15 subsection A of Section 212A of Title 74 of the Oklahoma Statutes
16 and with the governing body of the municipality, with the deadline
17 to order and file the audit or agreed-upon-procedures engagement
18 eligible for extension by the State Auditor and Inspector for
19 special circumstances or emergencies.

20 C. The municipal income requirements in subsections A and B of
21 this section shall not include any grant monies provided to a
22 municipality from any federal, state, or other governmental entity.
23 The municipal income requirements shall not include income of any
24 public trust established under Sections 176 through 180.4 of Title

1 60 of the Oklahoma Statutes with a municipality as the beneficiary
2 of the trust; provided, income from trusts established principally
3 for the purpose of operating electric, water, wastewater, and
4 sanitation utilities shall be included for purposes of the municipal
5 income requirements.

6 D. The governing body of each municipality that requests ~~the~~
7 ~~biennial~~ an agreed-upon-procedures engagement as provided in
8 subsection B of this section shall:

9 1. Determine the establishment of policies related to
10 adjustments, write-downs, or write-offs for various receivables due
11 to the municipality or the utility-related trust and select a sample
12 of adjustments to test for adherence to policies and for appropriate
13 supporting documentation;

14 2. Obtain two (2) months of bank statements of the general fund
15 and utility fund and confirm that cash deposits were made in the
16 appropriate accounts and verify utility billing receipts or posting
17 reports agree with the daily deposits;

18 3. Agree upon a pay rate for the city manager or town
19 administrator, city or town clerk, city or town treasurer, and
20 payroll clerk, to be authorized and documented in the personnel file
21 or in approved meeting minutes. If any employee received
22 compensation over and above his or her authorized salary or hourly
23 rate, the payroll clerk, upon request, shall provide appropriate
24 documentation of authorization for such pay. The requirements of

1 this paragraph shall not include expense reimbursements but shall
2 include any allowances considered taxable;

3 4. Determine the establishment of policies of use, proper
4 municipal purpose, and adherence to prescribed policies for entities
5 that use debit or credit cards;

6 5. Select a sample of transactions to test for supporting
7 documentation;

8 6. Prepare a cash basis schedule of changes in fund balances
9 for each fund and determine compliance with the statutory
10 prohibition of creating fund balance deficits;

11 7. Agree material fiscal year-end bank account balances to bank
12 statements and trace significant reconciling items to subsequent
13 clearance and determine if any bank accounts exist that are not
14 under city council purview;

15 8. Compare uninsured deposits at fiscal year-end to the fair
16 value of pledged collateral;

17 9. Inquire if any instances of known fraud, illegal acts, or
18 noncompliance with laws and regulations have occurred; and

19 10. Compare the use of material-restricted revenues and
20 resources to the restrictions of the governing body of the
21 municipality.

22 E. A public trust with a municipal government or governments as
23 the beneficiary that meet the same financial requirements
24 established in subsection B of this section may, as an alternative

1 to obtaining an audit as required in Section 180.1 of Title 60 of
2 the Oklahoma Statutes, follow the ~~biennial~~ agreed-upon-procedures
3 engagement outlined in subsection D of this section.

4 SECTION 2. AMENDATORY 11 O.S. 2021, Section 17-107, as
5 amended by Section 3, Chapter 254, O.S.L. 2022 (11 O.S. Supp. 2025,
6 Section 17-107), is amended to read as follows:

7 Section 17-107. If a municipality does not file a copy of its
8 audit or agreed-upon-procedures report as provided in Section 17-105
9 of this title, the State Auditor and Inspector shall notify the
10 Oklahoma Tax Commission which shall withhold from the municipality
11 its monthly allocations of gasoline taxes until notified by the
12 Office of the State Auditor and Inspector that the audit report has
13 been filed. If a report is not filed within two (2) years after the
14 close of the fiscal year in the case of an annual audit, or ~~the~~
15 ~~second fiscal year of a biennial audit period~~ an agreed-upon-
16 procedures engagement, the funds being withheld shall be remitted by
17 the Oklahoma Tax Commission to the State Auditor and Inspector's
18 Special Investigative Unit Auditing Revolving Fund created pursuant
19 to Section 4 17-107A of this ~~act~~ title.

20 SECTION 3. NEW LAW A new section of law not to be
21 codified in the Oklahoma Statutes reads as follows:

22 A. The Legislature finds as a result of Enrolled House Bill No.
23 2362 of the 2nd Session of the 59th Oklahoma Legislature, effective
24 November 1, 2024, the Municipal Audit Reform Act of 2022 was not

1 repealed. Any monies still withheld by the Oklahoma Tax Commission
2 for the 2022 fiscal year audits shall be released to the counties;
3 any monies still withheld for the 2023 fiscal year audits by the
4 Oklahoma Tax Commission for the Special Investigative Unit Auditing
5 Revolving Fund shall be released to the Office of the State Auditor
6 and Inspector for purposes consistent with law.

7 B. The Oklahoma Tax Commission shall release all funds withheld
8 for failure to file the 2024 audit required under Section 17-105 of
9 Title 11 of the Oklahoma Statutes, after the close of the 2026
10 fiscal year to the Office of the State Auditor and Inspector for
11 purposes consistent with law.

12 SECTION 4. This act shall become effective July 1, 2026.

13 SECTION 5. It being immediately necessary for the preservation
14 of the public peace, health or safety, an emergency is hereby
15 declared to exist, by reason whereof this act shall take effect and
16 be in full force from and after its passage and approval.

1 Passed the House of Representatives the 3rd day of March, 2026.

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3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2026.

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8 _____
9 Presiding Officer of the Senate